UNIVERSITY OF LAGOS
FACULTY OF MANAGEMENT SCIENCES
DEPARTMENT OF FINANCE
LECTURE NOTES
FIN 418 (INTERNATIONAL BUSINESS FINANCE)
Topic: Optimal Currency Area and International Financial Integration

The Concept of Optimal Currency

- An optimal currency area is one whose regions have high labour mobility or have common and synchronous aggregate supply or demand shocks (Samuelson & Nordhaus, 2010). In an optimal currency area, significant changes in exchange rates are not necessary to ensure rapid macroeconomic adjustments.
- The concept of optimal currency area was first proposed by Robert Mundell, who went on to win the Nobel Prize in Economics for his contribution towards this field in 1999.
- Most economists agree that a typical example of an optimal currency area is the United States. On the other hand, there is no consensus by Economists as to whether the European Union is an optimal currency area.

Eurobanks

- Eurobanks are financial institutions that accept foreign currencies for deposits and loans.
- Because they handle multiple currencies transactions, these institutions play a key role in facilitating global trade.
- Eurobanks cater mainly to governmental and institutional clients and will often form syndicates to facilitate especially large transactions (Investopedia, 2019).
- Even though eurobanks have been shown to facilitate international financial integration, their growth has been blamed for the breakdown of the Bretton Woods system and the debt crisis in the developing world (Pilbeam, 2013).

Eurocurrency

- Eurocurrency is currency held on deposit by governments or corporations operating outside of their home market. The most important eurocurrency is the Eurodollar.
- Eurocurrency markets are defined as banking markets which involve short-term borrowing and lending conducted outside of the legal jurisdiction of the authorities of the currency that is used (Pilbeam, 2013).
- The eurocurrency market has two sides to it: receipt of deposits and loaning out of those deposits.
- The "euro-" prefix arose because originally eurocurrencies were held, and loans made, in Europe, but that is no longer solely the case and a eurocurrency can now be held anywhere in the world that local banking regulations permit.

Eurobonds

- A Eurobond is a bond that is sold by a government, institution, or company in a currency different from the currency of the country where the bond is issued. A Eurobond is different from a foreign bond. A foreign bond is a bond issued by a foreign entity in the domestic currency of the country of issue.
- An example of a Eurobond is a dollar bond sold in Nigeria while an example of a foreign bond is a Nigerian company's bond issued in British pounds in London.
- Both the eurocurrency and Eurobond markets exert a great deal of influence on the international financial markets

Special Drawing Rights

- Special drawing rights (SDR) are an artificial currency instrument created by the International Monetary Fund (IMF), which uses them for internal accounting purposes.
- The value of the SDR is calculated from a weighted basket of major currencies, including the U.S. dollar, the euro, Japanese yen, Chinese yuan, and British pound.
- The SDR was created because the growth of international reserves in the late 1960s was deemed inadequate by the IMF.
- The SDR interest rate (SDRi) provides the basis for calculating the interest rate charged to member countries when they borrow from the IMF and paid to members for their remunerated creditor positions in the IMF.

ECOWAS

- The Economic Community of West African States (ECOWAS) was formed by a treaty in 1975 signed by fifteen West African countries in Lagos, Nigeria. These countries were: Nigeria, Benin Republic, the Gambia, Guinea, Guinea Bissau, Ghana, Ivory Coast, Liberia, Mauritania, Mali, Niger, Sierra Leone, Senegal, Togo and Burkina Faso. Cape Verde joined ECOWAS later at her independence from Portugal.
- Current challenges facing ECOWAS include dependence on former colonial masters; political instability; social problems such as inequality and crime; insurgency; corruption and civil wars (most recent ones being Ivory Coast and Mali).

AU

- The African Union (AU) is a continental union consisting of 55 member states located on the continent of Africa. The AU was announced in the Sirte Declaration in Sirte, Libya, on 9 September 1999, calling for the establishment of the African Union. The bloc was founded on 26 May 2001 in Addis Ababa, Ethiopia, and launched on 9 July 2002 in Durban, South Africa.
- The intention of the AU was to replace the Organisation of African Unity (OAU), established on 25 May 1963 in Addis Ababa by 32 signatory governments; the OAU was disbanded on 9 July 2002. The most important decisions of the AU are made by the Assembly of the African Union, a semi-annual meeting of the heads of state and

government of its member states. The AU's secretariat, the African Union Commission, is based in Addis Ababa.

References

Investopedia. (2019). *Eurobanks*. Retrieved February 09, 2021, from Investopedia Web site: https://www.investopedia.com/terms/e/eurobank.asp

Pilbeam, K. (2013). *International Finance.* Hampshire: Palgrave Macmillan.

Samuelson, P. A., & Nordhaus, W. D. (2010). *Macroeconomics.* New York: McGraw-Hill/Irwin.

Recommended reading

1. Chapters 11 and 12 of *International Finance* by Keith Pilbeam (2013) published by Palgrave Macmillan
2. Chapter 14 of *Monetary Economics: Theory, Policy and Institutions* by J. C. Anyanwu (1993) published by Hybrid Publishers
3. https://www.ecowas.int/about-ecowas/basic-information/